

ASX / Media Release

22 February 2021

Argo Infrastructure's fully franked interim dividend increases by +17%

Argo Global Listed Infrastructure Limited (ASX code: ALI) today announces an increased fully franked interim dividend of 3.5 cents per share. The Company reports a half-year accounting loss of \$5.4 million as a result of the downward revaluation of the investment portfolio to market value at 31 December 2020.

SUMMARY OF FINANCIAL RESULTS	Half-year to 31 December 2020	Half-year to 31 December 2019	Change
Profit/(Loss)*	(\$5.4 million)	\$15.8 million	-134.2%
Interim dividend per share (fully franked)	3.5 cents	3.0 cents	+16.7%
Net tangible asset (NTA) backing per share^	\$2.16	\$2.57	-16.0%

* Reported profit can be volatile as accounting standards require that operating income and realised profits and losses are added to, or reduced by, unrealised changes in the portfolio's market value from period to period.

^ After all costs, including fees and taxes.

INVESTMENT PERFORMANCE

While aggressive monetary and fiscal policy has seen 'risk-on' investments, particularly technology stocks, rebound strongly from their March 2020 lows, more defensive assets including listed infrastructure, have lagged.

In this climate, the portfolio delivered a total return of -1.6% for the half-year to 31 December 2020, slightly trailing the infrastructure sector benchmark return of -1.3%. Argo Infrastructure's share price fared better over the period rising +2.7%.

INCREASED FULLY FRANKED DIVIDENDS

The interim dividend is Argo Infrastructure's sixth consecutive fully franked dividend. The interim dividend of 3.5 cents per share is an increase of +16.7%, demonstrating a continued commitment and track record of generating sustainable total returns to shareholders. Including this interim dividend, total dividends paid out to shareholders since inception total 27.75 cents per share.

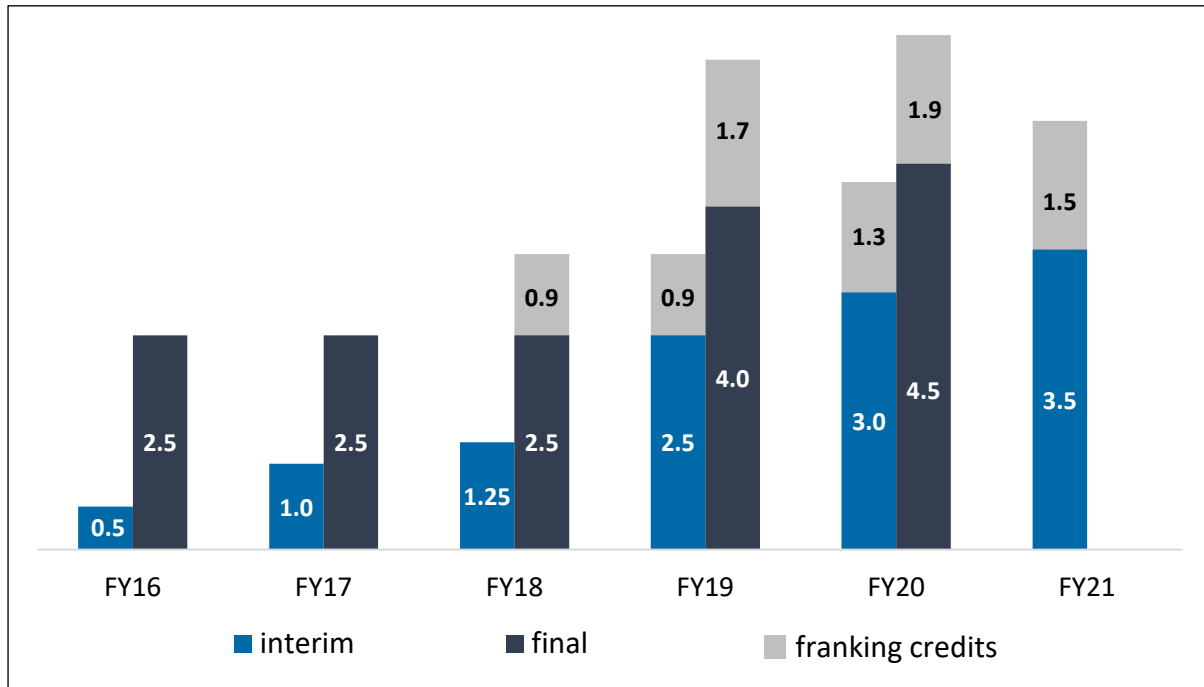
When Argo Infrastructure pays tax in Australia and generates franking credits, we can frank dividends paid to our shareholders. This is an important benefit of investing in international assets via an Australian listed investment company (LIC) structure, as compared to trust structure or investing directly offshore.

Including franking, the interim dividend brings the annual grossed-up dividend yield to 5.4%.

The Dividend Reinvestment Plan (DRP) will operate for the interim dividend.

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DIVIDENDS HISTORY cents per share



OUTLOOK

We have a cautiously optimistic economic outlook and, while we anticipate a continued recovery in global activity, we are cognisant of challenges around vaccine rollouts and new virus strains. Against this backdrop, Argo Infrastructure's specialist global portfolio manager, Cohen & Steers, remains focused on high-quality companies with strong balance sheets and liquidity profiles.

In recent months, Cohen & Steers has sold some of the pandemic outperformers (such as communications) and selectively added exposure to economic recovery via subsectors adversely impacted by the pandemic, such as freight railways and airports (including in Mexico).

In the longer term, several key structural trends support the outlook for many infrastructure assets globally. For example, intensifying data usage provides a strong tailwind for communications towers companies and data centres. Similarly, the worldwide drive to decarbonise will underpin investment in renewable energy-focused utilities. In addition, governments worldwide have committed funding for infrastructure investment as part of COVID stimulus measures.

With more than \$300 million of assets and no debt, Argo Infrastructure offers exposure to these long-term trends at asset prices that are at decade-lows relative to broader equities valuations, whilst providing shareholders with an attractive dividend track record demonstrated since our IPO in 2015.